

have shrunk to Rs 4,08,099 crore as against Rs 4,30,724 crore in the corresponding period last year. Even loan disbursements have dipped by Rs 40,000 crore. In short, cuts in key rates by the RBI are not adequately getting reflected in the reduction of lending rates of banks who have obviously not passed on the rate cuts to end users. So while the *aam aadmi* gets loans at

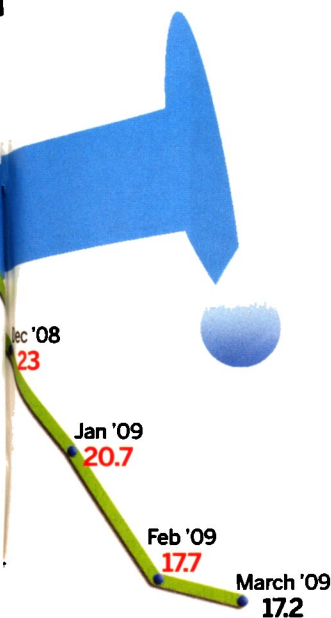
rates between 8.5 and 10 per cent, SMEs are not able to avail capital at anything below 12 per cent, even after six months of policy intervention.

And availability of or lack of credit will make all the difference on how India rides the global recessionary trends. As RBI Governor D. Subbarao observes in his monetary policy speech, growth prospects in India continue to remain favourable compared to most other countries. "While public investment can play a critical role in the short-term during a downturn, private investment has to increase as the recovery process sets in and green shoots make their appearance," he says. But this has to be sustained.

While the slump in credit has hit

chiefs cite high deposit rates and fear of bad loans (non-performing assets or NPAs) amidst lingering economic slowdown as reasons for holding back cuts in lending rates. Gross NPAs of the banking sector are likely to touch 5 per cent by 2011, from 2.3 per cent in 2008. In absolute terms, the gross NPAs would increase to about three times from the March 2008 level of Rs 55,000 crore to Rs 1.9 lakh crore, according to a report by rating agency Crisil. ICICI Bank has seen the sharpest increase in its gross NPA proportion, more than 1 percentage point to 4.33 per cent.

Oriental Bank of Commerce CMD Alok K. Misra says banks are not lending to the extent desired because cost of deposits are still forbiddingly high.



*Year-on-year bank credit in percentage to commercial sector.
Source: CMIE



“ Banks’ NPAs have doubled and a big portion of this increase is in lending to SMEs that are in dire need of credit. ”

NAINA LAL KIDWAI, Country Head, HSBC



“ After being stagnant in the recent past, bank credit has dropped to Rs 16,306 crore for the last two weeks ended May 22. ”

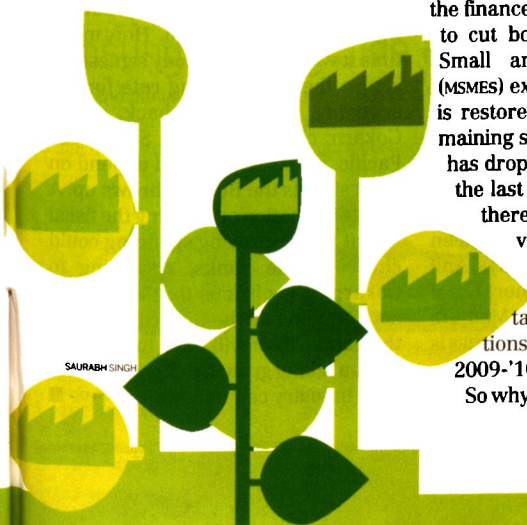
A. SAKTHIVEL, President, FIEO



sectors across industry, the worst hit have been textiles and exports. Not surprisingly, A. Sakthivel, president of the Federation of Indian Export Organisations (FIEO), feels grateful to the finance minister for urging banks to cut borrowing rates for Micro, Small and Medium Enterprises' (MSMEs) export sector so that growth is restored. "Bank credit, after remaining stagnant in the recent past, has dropped to Rs 16,306 crore for the last two weeks ended May 22, thereby taking outstanding advances to Rs 27,35,750 crore. Credit growth has been far below the expectations of the RBI's projections of 18-20 per cent for 2009-'10," says Sakthivel.

So why are banks not lending? PSB

Once it comes down, there will be room for more cuts, he assures. "If you have taken a deposit for one year, till it passes off, there is not much room for manoeuvre. In Q3 and Q4 we got deposits at a very high rate." He, however, does not agree with the finance minister that policy cuts are not reflecting adequately in lending rates. "How do you say we are not responding? Our rates have come down from 14 per cent to 12 per cent. We also support industry and do not want high rates," he says. The PSBs have cut lending rates by 125-225 basis points between October 2008 and April 2009, Misra adds. But private banks are not lagging behind either. Chanda Kochhar, managing director and CEO, ICICI Bank points out that over the last six months, the bank had reduced



SAURABH SINGH